ACQUISITION SCREEN · SAN MATEO COUNTY

Peninsula STR Property Report

A broader search from San Mateo through San Bruno, South San Francisco, Daly City, Brisbane, Redwood City, Pacifica and Half Moon Bay.

Bottom line: Start with 772–774 Walnut or 991 Mills in San Bruno, and keep 122 N Claremont as the San Mateo fallback. But do not buy on STR revenue: at current debt costs, each deal must survive as a long-term rental first.

Prepared 10 October 2026 · listing snapshots observed on that date

DECISION MEMO

The constraint is not inventory. It is legal STR capacity.

The expanded search surfaced credible multifamily and multi-unit leads, but most nearby cities treat STR as home-sharing—not an absentee investment business. San Bruno and the City of San Mateo are the most workable jurisdictions in this screen because both expressly allow non-hosted rentals, subject to a 120-day annual cap.

BEST ENTRY

$1.0M

772–774 Walnut

Legal San Bruno duplex; one unit reportedly vacant; garages and tenant-paid utilities. Best combination of price, unit clarity and STR jurisdiction.

BEST SAN MATEO

$1.20M

122 N Claremont

Five bedrooms / three baths and 2–4 unit classification. Prior screen produced the strongest DSCR in San Mateo, though still below target.

CORE WARNING

10.5%

Gross-yield hurdle

At 25% down, 7.25%, 30-year amortization and 30% operating expenses, the rent needed for 1.20x DSCR is about 10.5% of price annually.

Recommended sequence

1 · Underwrite as LTR-only.
Use verified in-place or market rent, not platform revenue estimates. Reject any deal that cannot carry debt under a normal long-term operation.

2 · Treat STR as a capped overlay.
Model at most the legally available unhosted nights. Use 30+ day furnished stays for the rest only after counsel confirms the leasing structure.

3 · Make STR eligibility an offer contingency.
Obtain written planning confirmation for the exact parcel, unit and proposed operator before removing contingencies.

4 · Preserve the 2027 REP plan.
Build recordkeeping and operating roles around Mandy's actual work. Tax treatment needs a CPA review; STR and REP rules are fact-specific.

Do not confuse “STR permitted in the city” with “this investment can be operated as an STR.” Primary-residence, unit-type, ADU, permit-cap and coastal-zone rules can eliminate a property even when the city has an STR ordinance.

What the debt service demands

DOWN PAYMENT
25%
Base case; excludes closing and renovation capital.

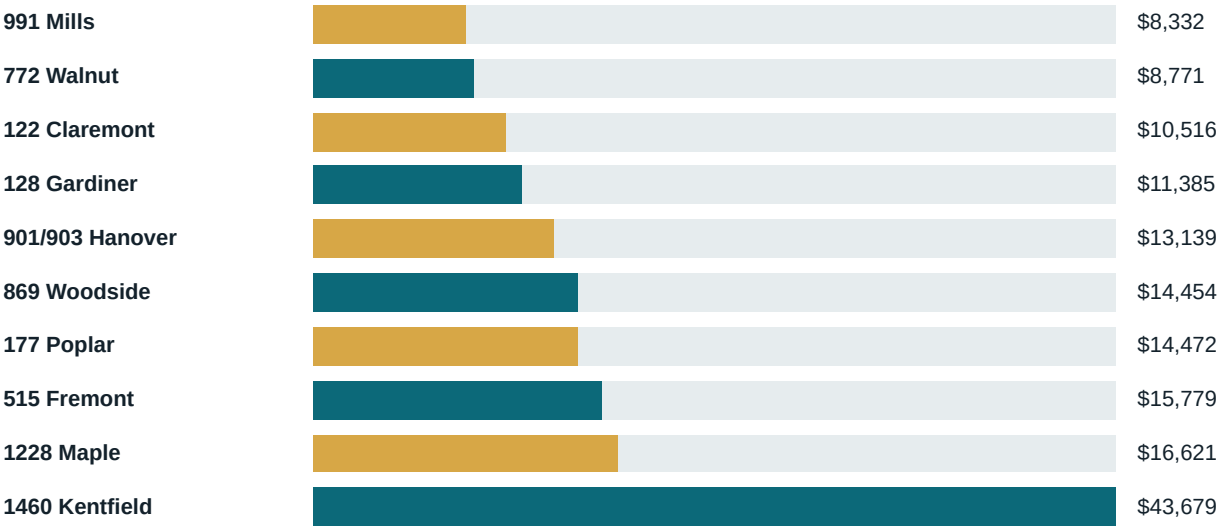
INTEREST RATE
7.25%
30-year fixed screening assumption—not a lender quote.

TARGET DSCR
1.20×
NOI divided by annual debt service.

```
Annual debt service = 75% × price × 8.186%
Required gross rent = (1.20 × debt service) ÷ 70%
Result: required annual gross rent ≈ 10.53% × purchase price
```

Operating assumption: 30% of gross rent for vacancy, property tax, insurance, repairs, utilities/turnover not reimbursed, administration and reserves. This is a first-pass ratio, not a substitute for a property budget. STR operations often run materially higher.

Required monthly gross rent to reach 1.20x DSCR



Interpretation: purchase price must fall, equity must rise, or verified NOI must exceed ordinary Peninsula LTR economics. A 120-night STR cap does not automatically solve the gap, especially after furnishing, cleaning, platform fees and utilities.

Ten leads, ranked for diligence

Rank reflects price, multi-unit clarity, jurisdictional STR fit and information quality—not expected return. “Status” is a web snapshot and must be reconfirmed with the listing agent/MLS.

#	Property	Ask	Configuration	Required gross / mo.	STR fit	Status / main issue
1	772–774 Walnut St San Bruno	$999,999	Legal duplex; 1BR + 1BR/bonus	$8,771	Promising	Active snapshot; verify vacant unit and bonus-room legality
2	991 Mills Ave San Bruno	$950k–$999k	2BR/1BA + studio	$8,332 at $950k	Promising	Conflicting ask; thin source data
3	122 N Claremont St San Mateo	$1,199,000	5BR/3BA; 2–4 unit class	$10,516	Promising	Best prior San Mateo DSCR; still below target
4	128 Gardiner Ave South SF	$1,298,000	2,171 sf multifamily	$11,385	Poor	Multifamily not STR-eligible under city application rules
5	901/903 Hanover St Daly City	$1,498,000	2,524 sf; details thin	$13,139	Poor	Primary-residence regime; verify unit mix
6	177 Poplar Ave Redwood City	$1,650,000	Triplex: 2×2BR + 3BR	$14,472	Poor	Status conflict: Active vs Pending
7	869 Woodside Way San Mateo	$1,648,000	Commercial + residential	$14,454	Complex	Mixed-use financing and zoning complexity
8	515 S Fremont St San Mateo	$1,799,000	Two 2BR units	$15,779	Possible	Price creates high rent hurdle
9	1228 Maple St San Mateo	$1,895,000	Two 2BR units; 2,356 sf	$16,621	Possible	High basis; confirm rents and condition
10	1460 Kentfield Ave Redwood City	$4,980,000	2024 fourplex; ~ $30k/mo gross reported	$43,679	Poor	Reported gross below model hurdle

> **Price sensitivity:** every $100,000 reduction lowers required monthly gross by about **$877** under the base model. That makes negotiated basis the cleanest lever.

Excluded: 1702 Woodside Rd (sold 9/10/26); 1119 Madison Ave (pending); 621 E 16th Ave (pending); implausibly low entries at 253 2nd Ave #S37 and 3015 E Bayshore Rd #427 pending clarification.

San Bruno + San Mateo

1 · 772–774 Walnut Street, San Bruno

$999,999 · 1,362 sf · legal duplex · built 1959 · 2,500 sf lot

Front unit is described as about 561 sf and vacant; rear is about 801 sf with a 240 sf bonus room used as a second bedroom. Enclosed garages, in-unit laundry and tenant-paid utilities improve operating control.

WHY IT RISES

Lowest verified direct-listing basis; city code allows whole-unit non-hosted STR up to 120 days; vacancy may create an immediate operating window.

WHAT CAN BREAK IT

Small units; bonus room may not be a legal bedroom; required gross of $8,771/mo is aggressive for two units without strong furnished demand.

2 · 991 Mills Avenue, San Bruno

$950,000–$999,000 reported · 1,052 sf · upper 2BR/1BA + studio/1BA

Lowest indicated price in the set. Shared laundry and a compact two-unit configuration could suit one furnished unit plus one stable LTR.

WHY IT RISES

At $950k, the model hurdle is $8,332/mo; San Bruno has a clear permit pathway.

WHAT CAN BREAK IT

Price conflict across sources; limited property detail; verify legal unit count, parking and occupancy before underwriting.

3 · 122 N Claremont Street, San Mateo

$1,199,000 · 5BR/3BA · 2,960 sf · 2–4 unit classification · built 1965

Largest space near the low end of the list. In the earlier San Mateo screen, this was the strongest DSCR at roughly 1.04x under comparable assumptions—still short of the 1.20x goal.

WHY IT RISES

Room count, price per square foot and San Mateo’s 120-day non-hosted framework create multiple operating paths.

WHAT CAN BREAK IT

Legal unit configuration and rent roll are not confirmed; bedroom count alone does not establish rentable units.

Watch · 515 S Fremont / 1228 Maple / 869 Woodside

$1.65M–$1.90M · San Mateo

Both Fremont and Maple are two-unit residential leads, but their basis requires roughly $15.8k–$16.6k monthly gross. Woodside is mixed-use, creating lender, appraisal, insurance and residential-permit complications. Keep only if seller terms or a material discount change the basis.

Redwood City + north-county watchlist

177 Poplar Avenue, Redwood City

$1,650,000 · triplex · 2×2BR/1BA + 1×3BR/2BA · ~4,525 sf · 7,500 sf lot

Compelling unit count and walkability, but one source showed Pending while another showed Active. Redwood City allows STR only in the operator's primary residence; an absentee triplex STR thesis is not compatible with the verified city framework.

Disposition: pursue only as an LTR or owner-occupied house-hack—and only after status confirmation.

1102–1104 Palm Avenue, Redwood City

Main 2BR house + 660 sf 2BR/2BA ADU + 240 sf junior ADU · 1,860 permitted sf reported

New construction and three living areas are attractive, but the source set contains a conflicting $825,000 snippet and no reliable price. Redwood City's STR rules evaluate each dwelling separately and restrict investment use; newer ADUs face additional limitations.

Disposition: retrieve the current MLS sheet, permit card and parcel-level ADU restrictions before assigning value.

1460 Kentfield Avenue, Redwood City

$4,980,000 · 2024 fourplex · 5,892 sf · reported gross ~ $30,000/mo · 5%+ cap marketed

Highest-quality stabilized multifamily lead, with paid solar and large units. Yet $30,000/mo reported gross is materially below the $43,679/mo base-model hurdle for 1.20x DSCR at 25% down. The opportunity may work for wealth preservation or at higher equity, not the stated cash-flow screen.

South San Francisco

- **128 Gardiner:** $1.298M, 2,171 sf multifamily.
- **324 Susie Way:** $1.725M, 8BR, 4,767 sf; details thin.

City STR application limits eligibility to permanent-resident single-family dwellings, excluding multifamily and ADUs. Screen these as LTR only.

Daly City / Brisbane

- **901/903 Hanover:** $1.498M, 2,524 sf.
- **18 Visitacion, Brisbane:** $3.8M, 6BR, 4,200 sf.

Both cities operate primary-residence-style STR frameworks. Brisbane additionally allows hosted stays only and limits eligible dwellings.

Pacifica / Half Moon Bay: no verified active multifamily candidate survived this search. Keep them as regulatory opportunity zones, not current leads; Pacifica's 2025 rules and coastal-zone differences require parcel-specific confirmation.

Where an investment STR can—and cannot—operate

City	Investment-property fit	Verified core rules	Implication
San Mateo	**Conditional**	Legal dwelling units; ADUs excluded; non-hosted cap 120 days; annual registration, business license, TOT; parking and occupancy rules.	Most workable local path, but 120 nights caps revenue.
San Bruno	**Conditional**	Hosted owner-occupied rooms unlimited; non-hosted entire SFR/duplex/multifamily capped at 120 days; zoning permit, inspection, business license and taxes.	Best match for the duplex leads. Confirm whether owner-occupancy evidence applies to proposed non-hosted structure.
Redwood City	**Poor**	STR only in primary residence; unhosted cap 120 nights; registration and TOT; local contact and neighbor notice.	Not an absentee STR acquisition thesis.
South San Francisco	**Poor**	Permanent resident; existing single-family dwelling only; multifamily and ADUs ineligible; non-hosted cap 90 days.	Current multifamily leads fail the unit-type screen.
Daly City	**Poor**	Primary residence; vacation rentals prohibited; properties with ADUs and non-owner-occupied multifamily excluded; permit + business license.	Owner-occupied home-sharing only.
Brisbane	**Poor**	Permit; proof of permanent residence; hosted stays only; single-family rules; ADUs excluded; liability insurance.	Not compatible with full-unit absentee STR.
Pacifica	**Parcel-specific**	2025 permit regime, business license, safety declaration, fees and TOT; coastal and non-coastal rules differ; unhosted caps and permit limits apply.	Potentially investable, but verify zone, permit availability and current coastal approval conditions.
Half Moon Bay	**Poor**	Registration; primary-residence framework; unhosted cap reported at 60 nights; ADUs excluded; business license and TOT.	Tourism demand is attractive, but legal capacity is narrow.

Highest-risk unknown: permit rules can change, and some official pages lag enacted ordinances. Obtain a written zoning/STR determination tied to the APN and proposed operator before relying on any row above.

Four questions for each planning desk

1. May a non-primary-residence owner operate an unhosted STR in this exact unit?
2. Does the cap apply per parcel, per unit, per host, or across all platforms?
3. Is a permit currently available, transferable, and renewable after a sale?
4. Do ADU, SB 9, coastal-zone, affordability, HOA or deed restrictions override the general ordinance?

Use STR as upside, not as life support

Base layer · 12-month LTR

Underwrite every unit at verified market rent with normal vacancy and reserves. This is the floor that should service debt.

- Lowest operational burden
- Most financeable income stream
- Best bridge to Mandy's 2027 management plan

Upside layer · Furnished demand

Use legal STR nights selectively, then consider 30+ day corporate, medical, relocation or project stays.

- Avoid assuming 365 STR nights
- Price utilities, furniture and turnover
- Review tenant-protection consequences

Illustrative duplex stack

Unit	Primary use	Why	Underwriting rule
Unit A	Stable LTR	Anchors debt service and reduces seasonality	Use signed lease or documented market rent
Unit B	Furnished / STR overlay	Creates flexibility for capped high-rate nights	Model only permitted nights; subtract full operating load
Garage / bonus	Storage / amenity	May support rent without illegal occupancy	$0 bedroom value until permit legality is documented

Stress tests before an offer

RATE
8.25%
Can the deal survive a delayed close or non-owner-occupied pricing?

REVENUE
−15%
What if furnished demand or rent assumptions miss?

EXPENSES
+20%
What if insurance, repairs and utilities reset after purchase?

```
Maximum offer from verified NOI = NOI ÷ 1.20 ÷ mortgage-constant ÷ 75%
At 7.25% / 30 years: Max price ≈ annual NOI ÷ 7.37%
```

Example: if verified annual NOI is $85,000, the base model supports roughly $1.15M—not whatever the seller asks. This reverses the process: determine value from durable NOI, then negotiate.

Tax positioning

Material participation, STR loss rules, depreciation and real-estate-professional status are separate tests. Mandy's actual hours, decision-making and contemporaneous records matter. Have the CPA approve the operating structure before closing; do not buy solely for a projected W-2 offset.

A 14-day decision sprint

Day 0–2 · Status + package
Obtain current MLS sheet, offering memorandum, T12 income/expense, rent roll, all leases, deposits, utility responsibility and seller disclosures.

Day 2–4 · Legal units
Pull permit history and certificate of occupancy. Match kitchens, bedrooms, addresses, electrical meters and floor plans to approved records.

Day 3–5 · STR letter
Ask city Planning for written parcel-specific eligibility, cap, permit availability, transferability and operator-residency requirements.

Day 4–7 · Income
Collect three LTR rent comps per unit and at least one furnished 30+ day comp. Use STR data only after the legal night count is confirmed.

Day 5–9 · Costs
Get insurance quotes for LTR, furnished and STR use; lender term sheet; property-tax estimate; inspection/roof/sewer reports; renovation and furniture bids.

Day 8–11 · Re-underwrite
Build unit-level P&L, capex schedule, downside case and cash reserve. Recalculate DSCR on lender-recognized income.

Day 11–14 · Price + go/no-go
Solve maximum offer from verified NOI. Proceed only with ≥1.20x base DSCR or a clearly funded value-add path.

Broker questions

- Exact current status and offer date?
- Which units are vacant, and why?
- Any owner-paid utilities or concessions?
- Any unpermitted bedrooms, kitchens or ADUs?
- Insurance claims, code notices or tenant disputes?

Automatic pause triggers

- STR permit cannot be transferred or obtained
- Unit count differs from public records
- Rent roll cannot be reconciled to deposits
- Insurance excludes intended use
- DSCR depends on 365 STR nights

Immediate outreach order: 772–774 Walnut → 991 Mills → 122 N Claremont. Ask for documents first; a showing is less valuable than confirming unit legality and durable NOI.

Offer language to request from counsel

Financing, appraisal, inspection, lease/rent-roll verification, satisfactory STR/zoning determination, insurance availability, and review of permits / code compliance. Do not rely on a listing agent’s verbal statement about STR use.

What was verified—and what still is not

City of San Mateo
STR registration & requirements

City of San Bruno
Municipal Code Chapter 12.270

Redwood City
2026 STR affidavit / operating rules

South San Francisco
STR application and eligibility

Daly City
STR guide and application

Brisbane
Ordinance No. 655 / Chapter 17.35

Half Moon Bay
Official STR program summary

Pacifica
Ordinance / Coastal Commission record

Primary listing pages
122 N Claremont · 515 S Fremont · 1228 Maple

Additional listing coverage
Walnut St · 1102–1104 Palm · 128 Gardiner · 869 Woodside

Market search pages
Redwood City multifamily · San Mateo County inventory · Redwood City RealtyTrac

Not verified: live MLS status; final asking price for conflicting entries; in-place rents; rent comps; title; unit legality; inspections; insurance; lender terms; HOA/deed restrictions; permit availability; or parcel-specific STR eligibility.

How to use this report

This is a lead-generation and decision-screen document. Property prices and statuses are public web snapshots observed 10 October 2026 and can change without notice. Required-rent figures are calculated estimates using stated assumptions, not forecasts. The correct next move is document collection and parcel-specific verification—not an offer based on this PDF alone.

Assumptions made for screening: 25% down, 7.25% fixed, 30-year amortization, 30% gross operating expense ratio, 1.20x DSCR. Closing costs, renovation, furnishing and income taxes are excluded.